

CONFLICT OF INTEREST POLICY

Golden Archive Foundation

(A Texas Nonprofit Corporation)

Adopted on: 11/21/2025

ARTICLE I – PURPOSE

The purpose of this Conflict of Interest Policy is to protect the interests of **Golden Archive Foundation** (the “Corporation”) when it is contemplating entering into a transaction or arrangement that might result in a personal benefit to a director, officer, key employee, or any disqualified person.

This policy is intended to comply with:

- IRS regulations governing private inurement and excess benefit transactions,
- Texas Business Organizations Code (TBOC),
- Federal requirements for Section 501(c)(3) organizations.

The Corporation will not engage in any transaction that results in an improper private benefit, inurement, or excess benefit.

ARTICLE II – DEFINITIONS

1. Interested Person

Any director, officer, committee member with board-delegated powers, employee, or contractor who has:

- A financial interest, or
- A close family relationship (spouse, parent, children, siblings, domestic partner) with someone who has a financial interest.

2. Financial Interest

A person has a financial interest if they have, directly or indirectly:

- An ownership or investment interest in any entity the Corporation does business with;
- A compensation arrangement with the Corporation or with any entity doing business with the Corporation;

- Potential ownership, investment, or compensation resulting from a transaction with the Corporation.

Compensation includes:

Salary, consulting fees, honoraria, bonuses, grants, loans, gifts, and anything of monetary value.

3. Conflict of Interest

A conflict exists when the Board determines that an interested person's financial interest could compromise their objectivity or duties to the Corporation.

ARTICLE III – DUTY TO DISCLOSE

An interested person must fully disclose the existence of any financial interest or potential conflict to:

- The Board of Directors, or
- Any applicable committee with Board-delegated powers.

Disclosure must be made **before** the Corporation enters into any transaction or arrangement.

ARTICLE IV – PROCEDURES

1. Recusal

After disclosure, the interested person must:

- Leave the meeting during discussion,
- Leave the meeting during voting,
- Abstain from influencing the decision.

2. Determining Whether a Conflict Exists

The remaining disinterested board members shall discuss and vote on whether a conflict of interest exists.

3. Addressing the Conflict

If a conflict is determined:

1. The Board may appoint a disinterested person to investigate alternatives.

2. The Board shall determine whether the Corporation can obtain a better arrangement that does not involve a conflict.
3. If a better alternative is not reasonably possible, the Board may approve the transaction **only if**:
 - It is fair and reasonable
 - It furthers the charitable mission
 - It serves the Corporation's best interests

4. Approval Standard

A transaction involving a conflict must be approved by:

- A **majority vote** of disinterested directors,
 - Documentation in the minutes,
 - Comparability data (when setting compensation).
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ARTICLE V – COMPENSATION POLICIES

1. Directors and Officers

A voting director or officer who receives compensation from the Corporation is **prohibited** from voting on matters relating to:

- Their own compensation,
- Contracts or benefits that apply to them.

They may provide factual information if requested.

2. Reasonable Compensation

All compensation must be:

- Based on comparability data
 - Documented
 - Approved by disinterested directors
 - Consistent with IRS reasonable compensation rules
 - In the best interest of the Corporation
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ARTICLE VI – RECORDS AND MINUTES

Meeting minutes must include:

- Names of persons with disclosed conflicts
- The nature of the financial interest
- Whether the Board determined a conflict existed
- Actions taken to investigate alternatives
- Comparability data considered
- The vote and final decision
- Names of directors voting for and against
- Confirmation that the interested person recused themselves

These records must remain in the corporate records book permanently.

ARTICLE VII – ANNUAL STATEMENTS

Each director, officer, key employee, and committee member shall annually sign a statement confirming that they:

1. Received a copy of this policy
2. Read and understood it
3. Agree to comply
4. Understand the Corporation is charitable and must act in its best interests
5. Understand conflicts must be disclosed immediately

A copy of the signed statement shall be kept with the corporate records.

ARTICLE VIII – PERIODIC REVIEWS

The Corporation shall conduct regular (at least annual) reviews to ensure:

- No private benefit or inurement has occurred
- All compensation arrangements are reasonable
- All transactions serve the mission
- Internal controls are being followed

Reviews may use external advisors when appropriate.

ARTICLE IX – USE OF OUTSIDE EXPERTS

The Corporation may use independent legal, financial, or compensation experts to provide comparability data.

Use of outside experts does not relieve the Board of its responsibility for ensuring compliance.
